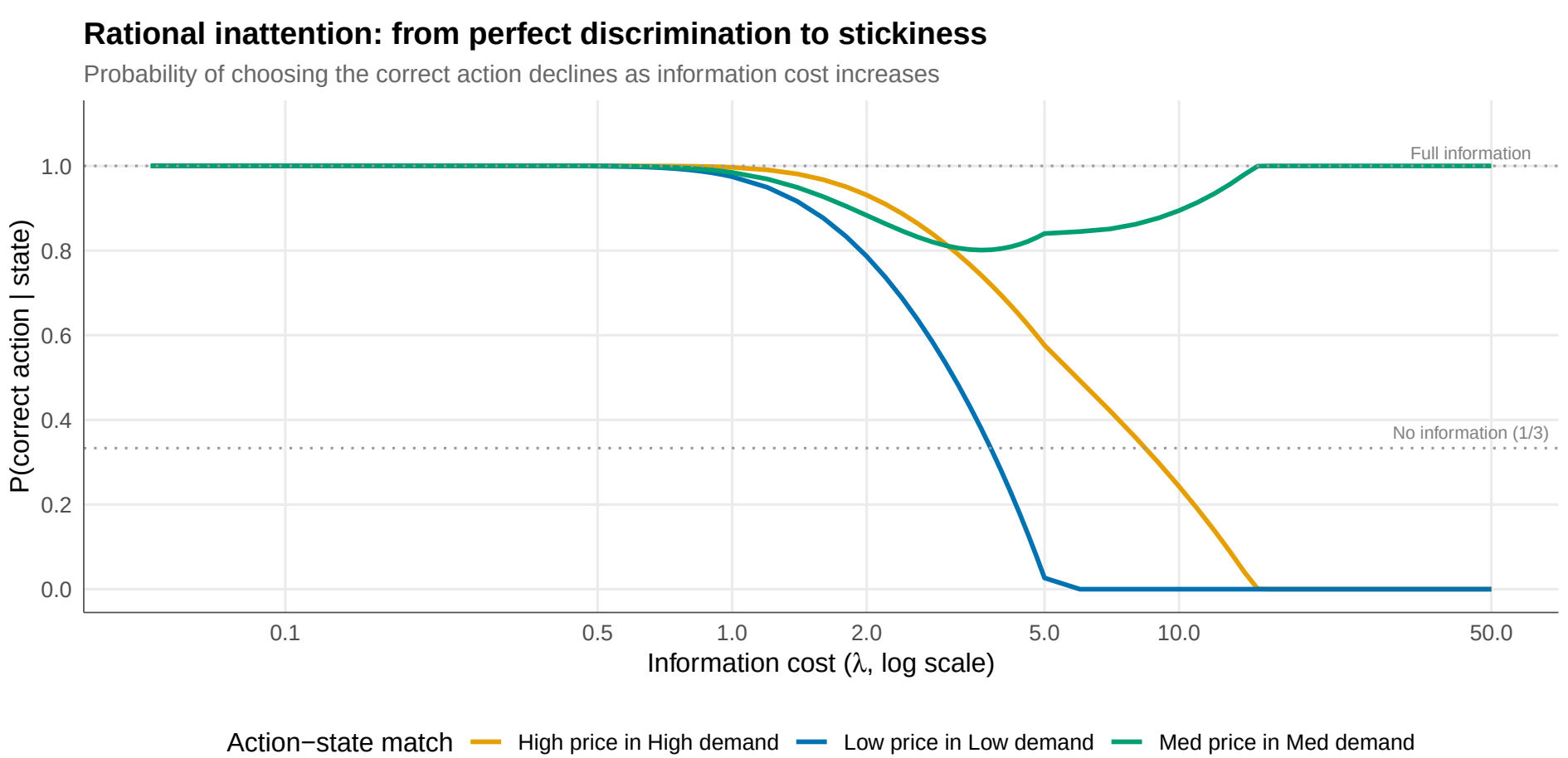
Rational inattention: from perfect discrimination to stickiness
Probability of choosing the correct action declines as information cost increases
P(correct action | state)
1.0
0.8
0.6
0.4
0.2
0.0
Full information
No information (1/3)
0.1
0.5
1.0
2.0
5.0
10.0
50.0
Information cost (λ, log scale)
Action−state match
High price in High demand
Low price in Low demand
Med price in Med demand